

ChE 494 (Entrepreneurship in Chemical Engineering)

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Anderson Quiz:

- 1- Motivation - The most important thing for an entrepreneur is making money.
- 2- Mission – Potential employees would rather work for a company that has a noble mission than one that pays the highest salary.
- 3- Intellectual property – I have written a computer code. Should I protect my intellectual property with a trademark, patent, or copyright?
- 4- Team Building – It is better to find co-founders who think alike, rather than think differently.
- 5- Strategic planning – Deciding whether to have a sale next week is an example of strategic thinking.
- 6- Sales/Marketing
 - If a product is good enough and marketed well enough, sales people aren't necessary.
 - The most important task of the marketing department is writing good ads and maintaining the website.
 - Product/Market Fit – An amazing product idea with limited sales is better than a boring product with massive sales.
- 7- Funding – Good investors squeeze as much money from founders to increase their return on investment.
- 8- Accounting – What is the profit of a company with \$1,000,000 in annual revenue, fixed costs of \$100,000 per year, and variable costs of \$400,000 per year? What is the percent profit margin?
- 9- Finance – My company can earn \$200,000 profit per year by investing \$3,000,000. Should I borrow money for that project with an interest rate of 8%?
- 10- Cash flow – our company buys parts from overseas with upfront payment and 9-10 weeks lead time. It takes our production team 4 weeks to build and ship products to customers. Our COGs are 50% and labor cost is 15% of selling price, what payment terms should we request from our customers to stay cash flow positive.

- 11- Manufacturing – Manufacturing work force is abundant, and most manufacturing workers do not need math or computer skills.
- 12- Human Resources – Objective is to hire people at the lowest possible salary
- 13- Economics – A good way to increase profit is to raise the price
- 14- Legal – Pick one – You need a lawyer to help you find ways around laws that restrict your business. Your lawyer needs to know the law. (You can provide the business background). A good lawyer keeps you out of trouble, not waiting until you have messed up.
- 15- Global business – The primary reason globalization is important is that it gets us a source of inexpensive labor.
- 16- Project management – To make sure a project gets finished on time you should plan for extra workers and overtime during the last month.
- 17- Environment – If you don't pollute either air or water you are good to go.
- 18- Customer service –
- Providing good customer service is very costly.
 - Providing good customer service improves profit
- 19- Research and development – Ideas for new products usually come from PhD scientists.
- 20- Ethics – True or False – Safe design of bridges is the responsibility of the manager of engineering.